

Broad Transactions ↴

850 Related Party Disclosures

850 Related Party Disclosures 10 Overall

00 Status

General Note:The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

850-10-00-1	The following table identifies the changes made to this Subtopic.			
	Paragraph	Action	Accounting Standards Update	Date
	Affiliate	Amended	Maintenance Update 2018-12	09/10/2018
	850-10-60-8	Amended	Maintenance Update 2017-09	05/30/2017
	850-10-60-8	Amended	Accounting Standards Update No. 2014-09	05/28/2014

05 Overview and Background

General Note:The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

850-10-05-1	The Related Party Disclosures Topic provides disclosure requirements for related party transactions and certain common control relationships. Accounting and reporting issues concerning certain related party transactions and relationships are addressed in other Topics.
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- 850-10-05-2** Information about transactions with [related parties](#) is useful in comparing an entity's results of operations and financial position with those of prior periods and with those of other entities. It helps users of financial statements to detect and explain possible differences.
- 850-10-05-3** Examples of related party transactions include those between:
- a. A parent entity and its subsidiaries
 - b. Subsidiaries of a common parent
 - c. An entity and trusts for the benefit of employees, such as pension and profit-sharing trusts that are managed by or under the trusteeship of the entity's [management](#)
 - d. An entity and its [principal owners](#), management, or members of their [immediate families](#)
 - e. [Affiliates](#).
- 850-10-05-4** Transactions between related parties commonly occur in the normal course of business. Examples of common transactions with related parties are:
- a. Sales, purchases, and transfers of real and personal property
 - b. Services received or furnished, such as accounting, management, engineering, and legal services
 - c. Use of property and equipment by lease or otherwise
 - d. Borrowings, lendings, and guarantees
 - e. Maintenance of compensating bank balances for the benefit of a related party
 - f. Intra-entity billings based on allocations of common costs
 - g. Filings of consolidated tax returns.
- 850-10-05-5** Transactions between related parties are considered to be related party transactions even though they may not be given accounting recognition. For example, an entity may receive services from a related party without charge and not record receipt of the services. While not providing accounting or measurement guidance for such transactions, this Topic requires their disclosure nonetheless.

10 Objectives

- i General Note:** The Objectives Section provides the high-level objectives that the Subtopic is intended to accomplish or attain. The Section does not summarize or discuss the main principles of accounting and reporting requirements.

General

- 850-10-10-1** Information about transactions with [related parties](#) that would make a difference in decision making shall be disclosed so that users of the financial statements can evaluate their significance. Therefore, this Topic establishes requirements to disclose certain significant related party transactions and [control](#) relationships. Relevant information is omitted if the disclosures required by this Topic are not made.

15 Scope and Scope Exceptions

i General Note: The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General

> Overall Guidance

850-10-15-1 The Scope Section of the Overall Subtopic establishes the pervasive scope for the Related Party Disclosures Topic.

> Entities

850-10-15-2 The guidance in the Related Party Disclosures Topic applies to all entities.

> Other Considerations

850-10-15-3 The guidance in the Related Party Disclosures Topic is limited to disclosures. Accounting and reporting issues concerning certain related party transactions and relationships are addressed in other Topics.

850-10-15-4 The requirements of the Related Party Disclosures Topic are applicable to separate financial statements of each or combined groups of each of the following:

- a. A parent entity
- b. A subsidiary
- c. A corporate joint venture
- d. A 50-percent-or-less owned investee.

20 Glossary

i General Note: The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

Affiliate

A party that, directly or indirectly through one or more intermediaries, controls, is controlled by, or is under common control with an entity. See [Control](#).

Control

The possession, direct or indirect, of the power to direct or cause the direction of the management and policies of an entity through ownership, by contract, or otherwise.

Immediate Family

Family members who might control or influence a principal owner or a member of management, or who might be controlled or influenced by a principal owner or a member of management, because of the family relationship.

Management

Persons who are responsible for achieving the objectives of the entity and who have the authority to establish policies and make decisions by which those objectives are to be pursued. Management normally includes members of the board of directors, the chief executive officer, chief operating officer, vice presidents in charge of principal business functions (such as sales, administration, or finance), and other persons who perform similar policy making functions. Persons without formal titles also may be members of management.

Principal Owners

Owners of record or known beneficial owners of more than 10 percent of the voting interests of the entity.

Related Parties

Related parties include:

- a. Affiliates of the entity
- b. Entities for which investments in their equity securities would be required, absent the election of the fair value option under the [Fair Value Option Subsection](#) of Section 825-10-15, to be accounted for by the equity method by the investing entity
- c. Trusts for the benefit of employees, such as pension and profit-sharing trusts that are managed by or under the trusteeship of management
- d. Principal owners of the entity and members of their immediate families
- e. Management of the entity and members of their immediate families

f. Other parties with which the entity may deal if one party controls or can significantly influence the management or operating policies of the other to an extent that one of the transacting parties might be prevented from fully pursuing its own separate interests

g. Other parties that can significantly influence the management or operating policies of the transacting parties or that have an ownership interest in one of the transacting parties and can significantly influence the other to an extent that one or more of the transacting parties might be prevented from fully pursuing its own separate interests.

50 Disclosure

i General Note: The Disclosure Section provides guidance regarding the disclosure in the notes to financial statements. In some cases, disclosure may relate to disclosure on the face of the financial statements.

General

 [Related Proposed ASUs](#)

> Related Party Transactions

- 850-10-50-1** Financial statements shall include disclosures of material related party transactions, other than compensation arrangements, expense allowances, and other similar items in the ordinary course of business. However, disclosure of transactions that are eliminated in the preparation of consolidated or combined financial statements is not required in those statements. The disclosures shall include:
- The nature of the relationship(s) involved
 - A description of the transactions, including transactions to which no amounts or nominal amounts were ascribed, for each of the periods for which income statements are presented, and such other information deemed necessary to an understanding of the effects of the transactions on the financial statements
 - The dollar amounts of transactions for each of the periods for which income statements are presented and the effects of any change in the method of establishing the terms from that used in the preceding period
 - Amounts due from or to [related parties](#) as of the date of each balance sheet presented and, if not otherwise apparent, the terms and manner of settlement
 - The information required by paragraph [740-10-50-17](#).
- 850-10-50-2** Notes or accounts receivable from officers, employees, or affiliated entities must be shown separately and not included under a general heading such as notes receivable or accounts receivable.
- 850-10-50-3** In some cases, aggregation of similar transactions by type of related party may be appropriate. Sometimes, the effect of the relationship between the parties may be so pervasive that disclosure of the relationship alone will be sufficient. If necessary to the understanding of the relationship, the name of the related party shall be disclosed.

- 850-10-50-4** It is not necessary to duplicate disclosures in a set of separate financial statements that is presented in the financial report of another entity (the primary reporting entity) if those separate financial statements also are consolidated or combined in a complete set of financial statements and both sets of financial statements are presented in the same financial report.

> Disclosures About Arm's-Length Bases of Transactions

- 850-10-50-5** Transactions involving related parties cannot be presumed to be carried out on an arm's-length basis, as the requisite conditions of competitive, free-market dealings may not exist. Representations about transactions with related parties, if made, shall not imply that the related party transactions were consummated on terms equivalent to those that prevail in arm's-length transactions unless such representations can be substantiated.

> Control Relationships

- 850-10-50-6** If the reporting entity and one or more other entities are under common ownership or [management control](#) and the existence of that control could result in operating results or financial position of the reporting entity significantly different from those that would have been obtained if the entities were autonomous, the nature of the control relationship shall be disclosed even though there are no transactions between the entities.

60 Relationships

 **General Note:** The Relationships Section contains links to guidance that may be helpful to, but not required by, a user of the Subtopic. This Section may not be all-inclusive. The relationship items are organized according to the Topic structure in the Codification.

General

> Investments—Equity Method and Joint Ventures

- 850-10-60-1** For guidance on disclosures applicable to the equity method of accounting for investments in common stock, see paragraph [323-10-50-3](#).

> Guarantees

- 850-10-60-2** For guidance on disclosures incremental to those required by this Topic for certain guarantees issued to benefit [related parties](#), see paragraph [460-10-50-6](#).

> Debt

850-10-60-3 For guidance on debt extinguishment transactions between related entities that may be in essence capital transactions, see paragraph [470-50-40-2](#).

> Equity

850-10-60-4 For guidance on the presentation of notes received for a sale of the reporting entity's capital stock or a contribution to capital, see Section [505-10-45](#).

> Business Combinations

850-10-60-4A For guidance on disclosures applicable to certain transactions between entities under common control, see Section [805-50-50](#).

> Consolidation

850-10-60-5 For guidance on recognition by disclosure or otherwise to the effect of intervening events that materially affect the financial position or results of operations when a parent uses, for consolidation purposes, the financial statements of a subsidiary that are as of a fiscal close different from the parent, see paragraph [810-10-45-12](#).

850-10-60-6 For guidance on disclosure of the consolidation policy in consolidated statements, see paragraph [810-10-50-1](#).

> Related Party

850-10-60-7 The Related Party Disclosures Topic is limited to disclosures. The accounting for certain related party transactions is specified in other Topics.

> Franchisors

850-10-60-8 For guidance on franchisors disclosing certain information about franchisor-owned outlets, see paragraphs [952-10-50-1](#) and [952-10-45-1](#).

> Limited Liability Entities

850-10-60-9 For guidance on a limited liability company's presentation of amounts due from members for capital contributions as deductions from members' equity, see paragraph [272-10-45-5](#).

S45 Other Presentation Matters

i General Note: The Other Presentation Matters Section provides guidance on other presentation matters not addressed in the Recognition, Initial Measurement, Subsequent Measurement, and Derecognition Sections. Other presentation matters may include items such as current or long-term balance sheet classification, cash flow presentation, earnings per share matters, and so forth. The FASB Codification also contains Presentation Topics, which provide guidance for general presentation and display items. See those Topics for general guidance.

General

> Presentation of Amounts on Balance Sheet

850-10-S45-1 See paragraph [210-10-S99-1](#), Regulation S-X Rule 5-02.3, for the required separate presentation of receivables due from related parties.

850-10-S45-2 See paragraph [210-10-S99-1](#), Regulation S-X Rule 5-02.10, for the required separate presentation of securities of related parties.

850-10-S45-3 See paragraph [210-10-S99-1](#), Regulation S-X Rule 5-02.11, and Regulation S-X Rule 5-02.23, for disclosure requirements pertaining to indebtedness of related parties.

> Receivables Arising from the Issuance of Capital Stock to Officers or Other Employees

850-10-S45-4 See paragraph [310-10-S99-2](#), SAB Topic 4.E, for SEC Staff views on the presentation of receivables arising from the issuance of capital stock to officers or other employees.

> Notes or Other Receivables from a Parent or Another Affiliate

850-10-S45-5 See paragraph [310-10-S99-3](#), SAB Topic 4.G, for SEC Staff views on the presentation of notes or other receivable from a parent or another affiliate.

S50 Disclosure

i General Note: The Disclosure Section provides guidance regarding the disclosure in the notes to financial statements. In some cases, disclosure may relate to disclosure on the face of the financial statements.

General

> Related Party Transactions

850-10-S50-1 See paragraph [235-10-S99-1](#), Regulation S-X Rule 4-08(k), for required disclosures pertaining to related party transactions.